P220/1
ECONOMICS
Paper 1
July /August 2026
3 hours

KAYUNGA SECONDARY SCHOOLS EXAMINATIONS COMMITTEE (KASSEC)
JOINT MOCK EXAMINATION 2026

Uganda Advanced Certificate of Education

ECONOMICS

Paper 1

3 hours

INSTRUCTIONS TO CANDIDATES:

- *This paper consists of **two** sections **A** and **B** . It has four items*
- *Section **A** has **two** compulsory items*
- *Section **B** has **two** items. Respond to **one** item.*
- *Respond to **three** items in all.*
- *Any additional item responded to will not be scored.*

Turn Over

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SECTION A

All items in this section are compulsory.

Item 1

In recent years, several urban authorities in Uganda have invested in public street lighting, drainage systems, security patrols, and road maintenance to improve public safety and support business activities. These public services have benefited both residents and traders by improving movement, reducing crime and creating a more conducive business environment. However, in one trading Centre in Jinja District, some streetlights have stopped functioning due to vandalism and poor maintenance. Some residents argue that they should not contribute towards protecting or maintaining the facilities because everyone can benefit from them whether they contribute or not. The local authorities are concerned about the situation and have organised a meeting to devise ways of sustaining the services.

Following the deterioration of these services, traders have reported a decline in the number of customers visiting the trading Centre, particularly during evening hours. Many consumers now avoid the area because of security concerns and poor visibility at night. Nakato, a fruit vendor, has experienced a noticeable reduction in sales and is worried that the decline in customer turnout will further reduce demand for her products. Nakato and other traders are seeking for practical measures that can help her attract and retain customers despite the challenges facing the trading Centre.

Task:

(a) Advise the local authorities in Jinja on measures they can adopt to address the objective of the meeting.

(b) Suggest measures that Nakato and other traders could adopt to address their concern despite the challenges highlighted in the scenario.

Item 2

Okello Millers is a sole firm with patent rights to produce and sell maize flour in Gulu District and neighboring areas. Over the years, the population of the district has increased and the demand for maize flour has grown due to the rising number of households, schools, restaurants, and relief agencies that depend on the product as a staple food. As the only supplier in the area, Okello Millers has enjoyed a large market share and has consistently earned super normal profits. The owner now intends to use part of these profits to establish a new branch in another district. The head of Planning Department has identified two possible locations.

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Location A (Pakwach):

(i) Located near major maize -producing areas.
(ii) Land for factory construction is relatively cheap
(iii) Electricity supply is reliable
(iv) The area is far from the firm's major markets.

Location B (Arua city)

(i) Located close to a large and growing market.
(ii) Has good road networks and communication facilities.
(iii) Labour is readily available.
(iv) Land and rental costs are relatively high
(v) Maize suppliers are located far away, increasing the cost of obtaining raw materials.

The owner has enough capital to establish only one branch and wants the location that will maximize profits in the long run.

Meanwhile, residents of Obongi District are increasingly dissatisfied with Okello Millers. They argue that the firm charges excessively high prices for maize flour despite facing no competition. They also complain about declining product quality and inconsistent packaging standards. Since Okello millers is the only supplier in the area, consumers have limited alternatives. Consequently, residents have petitioned the District Commercial Officer (DCO) to intervene and protect their interests.

Task:

(a) With justification, recommend the most suitable location for the new branch.

(b) Propose measures that can be adopted by the District Commercial officer to address the concerns raised by the residents of Obongi District.

SECTION B
Respond to one item from this section

Item 3

UBOS report of 2024 indicated that Kamuli District experienced a steady increase in population over the last 10 years of approximately 11.1%. Local leaders attributed much of this growth to high birth rates, which have been associated with early marriages, low interest in family planning services, and the belief among many households that having more children provides additional labour for agricultural activities. The influx in the population has over strained the infrastructure and social services in the area creating a concern to the residents. As a result, the district planner has organised a consultative meeting to devise measures to address the rising population.

In the same district, agriculture has remained the main economic activity, with most residents engaged in the production of maize, rice and sugarcane. Although farming provides employment during planting and harvesting seasons, many young people remain without work during the off-season. The district production Officer is concerned that the increasing number of job seekers

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outside peak seasons has caused idleness among the youths thus need for urgent attention. A stakeholders' meeting has therefore been convened to identify practical solutions to the many unemployed youths.

Task:

(a) Advise the district planner on measures that can be adopted to address the concern of the residents in the scenario.

(b) Suggest measures that stakeholders can adopt to reduce the challenge experienced by the youths in Kamuli District.

Item 4

The Uganda National Teachers union (UNATU) is believed to be one of the most popular labour movements in Uganda's labour market. However, there exist other labour unions such as Makerere Academic Staff Association (MUASA), Uganda Medical Association (UMA). UNATU has actively negotiated with government and private employers to address issues concerning workers.

Despite its efforts, UNATU faces numerous challenges and it has failed to achieve its objectives.

Task:

(a) As an economist, advise UNATU leadership on the tools they can employ to achieve the objectives for which it was formed.

(b) Assuming that you are a leader in UNATU and the government would like to close its operations, what reasons would you advance to justify its existence in Uganda.

END

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